AS-4: Events After Balance Sheet Date

ICAI Format Answers (Provision → Description → Conclusion)

QUESTION 1 (Nov 2009) — Santhanam Ltd. — Acquisition in April 2009

Provision: As per AS-4, events occurring after the balance sheet date but before approval of financial statements are classified as adjusting or non-adjusting. Adjusting events relate to conditions existing at the balance sheet date. Non-adjusting events do not relate to such conditions and require disclosure only.

Description: Santhanam Ltd. invested ₹560 lakhs in April 2009 to acquire another company. Negotiations started during the year, but the deal was completed only after 31.3.2009. The acquisition did not exist as a condition on the balance sheet date.

Conclusion: This is a **non-adjusting event**. No adjustment in the balance sheet as on 31.3.2009 is required. Disclosure should be made in the **Report of the Board of Directors** as per para 15 of AS-4.

QUESTION 2 (June 2009) — Debtor loss due to earthquake and bankruptcy

Provision: As per AS-4, assets and liabilities should be adjusted for events after the balance sheet date that give additional evidence about amounts relating to conditions **existing at the balance sheet date**.

Description: A debtor of ₹2 lakhs suffered heavy loss due to earthquake in the last week of February 2009 (before 31.3.2009). The debtor became bankrupt in April 2009. The weakness of the debtor existed before the year-end; bankruptcy only confirmed the loss.

Conclusion: This is an **adjusting event**. The company **can and should** provide for the **full loss of ₹2 lakhs** in the final accounts for the year ended 31.3.2009.

QUESTION 3 (Final Nov 2003) — Same as Question 2

Provision: As per AS-4, adjustment is required when an event after the balance sheet date provides evidence about a condition that existed on the balance sheet date.

Description: The debtor of ₹2 lakhs suffered earthquake loss in February 2003 (before year-end) and became bankrupt in April 2003. The financial difficulty existed before 31.3.2003.

Conclusion: This is an **adjusting event**. **Full provision** for the loss arising from insolvency should be made in the accounts for the year ended 31.3.2003.

QUESTION 4 (Final May 1995) — Earthquake after year-end

Provision: AS-4 requires adjustment only for events relating to conditions existing at the balance sheet date. For other events, disclosure is required. The **going concern** assumption must also be evaluated when such events are material.

Description: After the close of the accounting year, a severe earthquake destroyed a portion of the building and rolling mill beyond repair. The company's resources were inadequate to replace the destroyed assets. The damage did not exist on the balance sheet date.

Conclusion: This is a **non-adjusting event**. The auditor should first check whether the **going concern** assumption is still valid. If yes, **no adjustment** is needed, but **disclosure** of the nature of the event and estimated financial impact (or statement that estimate cannot be made) should be made in the report of the approving authority.

QUESTION 5 (Auditing May 2000) — Voluntary Retirement Scheme (VRS)

Provision: As per AS-4, liabilities should be adjusted for events after the balance sheet date that affect amounts relating to conditions existing at that date. When employees have opted for a scheme before year-end, the liability exists on the balance sheet date.

Description: VV Ltd. announced VRS in January 2000. By 31.3.2000, 200 employees had opted. Lump-sum liability was ₹250 lakhs and future payments ₹1,500 lakhs. No payment or provision was made up to 31.3.2000. The obligation arose because employees had already opted before year-end.

Conclusion: AS-4 applies. This is an **adjusting event**. The company should make **appropriate provision** for the VRS liability in the accounts for the year ended 31.3.2000.

QUESTION 6 — Proposed dividend recommendation

Provision: As per AS-4 and related requirements, proposed dividend declared after the balance sheet date is **not a liability** at the balance sheet date. However, it must be **disclosed** in the notes to accounts. Statutory disclosure cannot be avoided merely because it does not change conditions on the balance sheet date.

Description: ABC Ltd.'s accounts for the year ended 31.3.2001 were approved on 19.5.2001. Directors recommended dividend @ 10%. They argued that since no obligation existed on 31.3.2001, no disclosure is needed.

Conclusion: I do not agree with the Board. Proposed dividend is a **non-adjusting event** — it is **not recognized as a liability**, but it **must be disclosed** in the notes to accounts. Non-disclosure is not correct.

QUESTION 7 (Final Nov 2005) — Debtor bankruptcy in April 2005

Provision: As per AS-4, adjustments are required for post balance sheet events that provide additional information materially affecting amounts relating to conditions existing at the balance sheet date.

Description: ABC Ltd. could not recover ₹10 lakhs from a debtor in financial difficulty. Provision was made @ 20% only. The debtor became bankrupt in April 2005 and nothing is recoverable. The debtor's financial difficulty existed before 31.3.2005.

Conclusion: This is an **adjusting event**. The company should be advised to provide for the **entire ₹10 lakhs** in the books for the year ended 31.3.2005 as per para 8 of AS-4.

QUESTION 8 — Pipeline extra cost (after approval of accounts)

Provision: AS-4 covers events occurring **between the balance sheet date and the date of approval** of financial statements. Events occurring **after approval** are not covered under AS-4.

Description: Accounting year ended 30.6.1998. Accounts approved on 20.8.1998. On 1.9.1998, while boring, rocky surface was found causing estimated extra cost of ₹80 lakhs. This became known **after approval** of accounts.

Conclusion: This is **not an event occurring after the balance sheet date** under AS-4. **No adjustment** is required in accounts for 30.6.1998. If material, the fact may be **disclosed in the Directors' Report**.

QUESTION 9 — R Ltd. acquisition in April 1998

Provision: As per AS-4, non-adjusting events are those that do not relate to conditions existing at the balance sheet date. Such events require disclosure in the report of the approving authority.

Description: R Ltd. invested ₹100 lakhs in April 1998 for acquisition of another company. Negotiations started during the year but investment was made only after 31.3.1998.

Conclusion: This is a **non-adjusting event**. **No adjustment** in financial statements is required. **Disclosure** should be made in the report of the approving authority.

QUESTION 10 — Cash theft detected before approval

Provision: As per AS-4 (Revised), if a fraud relating to the accounting period is detected after the balance sheet date but **before approval** of financial statements, the loss must be recognized in that period's accounts.

Description: Cash theft of ₹5 lakhs by cashier occurred in January 20X1 (during the year). It was detected in May 20X1. Accounts for year ended 31.3.20X1 were not yet approved by the

Board.

Conclusion: This is an **adjusting event**. The loss of **₹5 lakhs should be adjusted** in the accounts for the year ended 31.3.20X1.

QUESTION 11 — Earthquake destroyed warehouse after year-end

Provision: AS-4 states that adjustment is not required for events after the balance sheet date that do **not** relate to conditions existing at that date. Such material events require disclosure in the report of the approving authority.

Description: Earthquake on 20.5.20X2 destroyed a major warehouse. Year ended 31.3.20X2. Accounts approved on 30.6.20X2. Estimated loss ₹30 lakhs. The earthquake did not exist as a condition on 31.3.20X2.

Conclusion: This is a **non-adjusting event**. **No recognition of loss** in financial year 20X1-20X2. The earthquake and estimated loss of ₹30 lakhs should be **disclosed in the Board's Report**.

QUESTION 12 — Legal suit, recovery not probable

Provision: As per AS-4, assets and liabilities should be adjusted for post balance sheet events that provide additional evidence about conditions existing at the balance sheet date.

Description: Company filed suit against debtor for ₹15 lakhs as on 31.3.20X1. Legal opinion in April 20X1 stated chances of recovery are not good. The debtor's non-recoverability existed before finalisation of accounts, even though court result will come later.

Conclusion: This is an **adjusting event**. **Full provision for doubtful debts of ₹15 lakhs** should be made for the year ended 31.3.20X1.

QUESTION 13 — R Ltd. acquisition in April 20X1

Provision: AS-4 defines events after balance sheet date as significant events between balance sheet date and approval date. No adjustment is required if the event does not affect amounts relating to conditions existing at the balance sheet date.

Description: R Ltd. invested ₹100 lakhs in April 20X1 (before Board approval) for acquisition. Negotiations started during the year but acquisition was completed after 31.3.20X1.

Conclusion: This is a **non-adjusting event**. **No adjustment** to assets/liabilities is required. **Disclosure** of ₹100 lakhs investment should be made in the report of the approving authority.

QUESTION 14 — Pipeline cost (after approval) — 20X1

Provision: AS-4 applies only to events between balance sheet date and **date of approval** of financial statements.

Description: Year ended 30.6.20X1. Accounts approved on 20.8.20X1. On 1.9.20X1, rocky surface increased estimated cost by ₹80 lakhs. This arose **after approval**.

Conclusion: This is **not covered by AS-4**. **No adjustment** in financial statements for 30.6.20X1. Material information may be disclosed in Directors' Report.

QUESTION 15 — Earthquake before year-end, bankruptcy after

Provision: As per AS-4, adjustment is required when post balance sheet events provide evidence about conditions existing at the balance sheet date.

Description: Trade receivable of ₹2 lakhs suffered earthquake loss in last week of February 20X1 (before 31.3.20X1). Debtor became bankrupt in April 20X1. General provision @ 5% is not enough.

Conclusion: This is an **adjusting event**. **Full provision of ₹2 lakhs** should be made in final accounts for year ended 31.3.20X1.

Note: If earthquake had occurred after 31.3.20X1, it would have been non-adjusting with disclosure only.

QUESTION 16 — Raj Ltd. trademark suit

Provision: As per AS-4 (Revised), adjustments are required for events before approval that materially affect determination of amounts relating to conditions existing at the balance sheet date.

Description: Raj Ltd. was sued during 20X1-20X2 for ₹15 lakhs and provided ₹10 lakhs. Court decided on 18.5.20X2 to pay ₹14 lakhs. FS prepared on 30.4.20X2 and approved on 30.5.20X2. The suit existed before year-end; court decision only confirmed the amount.

Conclusion: This is an **adjusting event**. Provision should be **increased by ₹4 lakhs** (from ₹10 lakhs to ₹14 lakhs).

Note: If judgment was on 1.6.20X2 after approval on 30.5.20X2, AS-4 would not apply and no adjustment would be required.

QUESTION 17 — Alpha Ltd.

(i) Suit filed on 20.4.20X2 for ₹25 lakhs

Provision: AS-4 requires adjustment only for events relating to conditions existing at the balance sheet date. Contingencies under AS-4 are restricted to such conditions.

Description: Suit regarding advertisement was filed on 20.4.20X2 after year-end 31.3.20X2. The claim did not exist on the balance sheet date.

Conclusion: This is a **non-adjusting event**. It is **not a contingency** under AS-4 (as condition did not exist at year-end). **Disclosure** in the report of approving authority is required if material.

(ii) Acquisition — terms decided in March, payment in April ₹50 lakhs

Provision: If terms and conditions of a transaction were finalised before the balance sheet date, subsequent completion/payment is treated as relating to a condition existing at year-end.

Description: Terms for acquisition were decided by March 20X2 (before year-end). Financial resources were arranged and ₹50 lakhs invested in April 20X2 before approval on 15.7.20X2.

Conclusion: This is an **adjusting event**. The acquisition commitment existed at year-end; **adjustment/disclosure as appropriate** should be reflected in accounts for 31.3.20X2.

(iii) Theft on 31.3.20X2 detected on 16.7.20X2

Provision: AS-4 applies only to events occurring **before approval** of financial statements (here, before 15.7.20X2).

Description: Theft of ₹5 lakhs occurred on 31.3.20X2 but was detected on 16.7.20X2, which is **after approval** on 15.7.20X2.

Conclusion: This is **not covered by AS-4**. **No adjustment** in approved financial statements. It will be dealt with in the **next year's accounts**.

QUESTION 18 (July 21 & RTP May 2024) — Surya Limited

(i) Suit filed on 5.4.2021 for ₹5 lakhs

Provision: AS-4 classifies events based on whether conditions existed at the balance sheet date (31.3.2021).

Description: Suit for damages was filed on 5.4.2021, after year-end. No such liability existed on 31.3.2021.

Conclusion: Non-adjusting event. Not a contingency under AS-4. **Disclosure** required if material.

(ii) Property sale — proposal in March, deed registered 15.4.2021

Provision: Non-adjusting events do not relate to conditions existing at the balance sheet date. Mere proposal without binding commitment may not require adjustment.

Description: Proposal to sell property was sent in March 2021. Book value ₹30 lakhs, sale price ₹45 lakhs. Deed registered on 15.4.2021. Sale was not completed/concluded as a binding condition on 31.3.2021.

Conclusion: Non-adjusting event. No adjustment on 31.3.2021. **Disclosure** of subsequent sale may be made in Board's Report.

(iii) Acquisition — terms decided by March 2021, payment in April ₹50 lakhs

Provision: When terms are finalised before year-end, subsequent payment before approval is an adjusting event.

Description: Terms and conditions for acquisition were decided by end of March 2021. ₹50 lakhs was invested in April 2021 before approval of accounts.

Conclusion: Adjusting event. Should be **reflected/adjusted** in financial statements for year ended 31.3.2021.

(iv) Theft in March 2021 detected after approval

Provision: AS-4 applies only between balance sheet date and **date of approval** of financial statements.

Description: Theft of ₹4 lakhs occurred in March 2021 but was detected the day **after** financial statements were approved by Directors.

Conclusion: Not covered by AS-4. No adjustment in approved accounts. Loss will be accounted for in **subsequent period**.

QUESTION 19 — Sale of building, legal formalities pending

Provision: Accounting should reflect **substance over form**. If risks and rewards/beneficial interest have substantially transferred, the transaction should be recorded accordingly, even if legal formalities are pending.

Description: A Ltd. sold building for ₹50 lakhs (book value ₹30 lakhs) to B Ltd. and gave possession. Documentation was pending on 31.3.20X1. Company showed receipt as advance and did not record sale.

Conclusion: I do not agree with the treatment. Sale should be **recognized**, building **derecognized**, and **profit of ₹20 lakhs** should be recorded, as economic substance of sale is complete.

QUESTION 20 (CA Inter Dec 2021)

(i) Equity dividend @ 7% declared on 15.5.2021

Provision: Proposed/declared dividend after balance sheet date is not a liability at year-end. It is a non-adjusting event requiring disclosure only.

Description: Dividend @ 7% was declared on 15.5.2021 for FY 2020-21. Year ended 31.3.2021. Accounts approved on 10.7.2021. No obligation existed on 31.3.2021.

Conclusion: Non-adjusting event. No liability to be recognized. **Disclose in notes** to accounts only.

(ii) Cash fraud ₹53,000 — collected 5.3.2021, detected 22.6.2021

Provision: AS-4 requires adjustment for events before approval that relate to conditions existing at the balance sheet date, including fraud during the accounting period.

Description: Cash of ₹53,000 was collected from customer on 5.3.2021 but not deposited by cashier. Fraud detected on 22.6.2021 before approval on 10.7.2021. The fraud related to the year ended 31.3.2021.

Conclusion: Adjusting event. Loss of **₹53,000 should be adjusted** in accounts for year ended 31.3.2021.

(iii) Fire damage on 23.5.2021 — loss ₹81 lakhs

Provision: AS-4 does not require adjustment for events that do not relate to conditions existing at the balance sheet date. Disclosure is required for material non-adjusting events.

Description: Building damaged by fire on 23.5.2021 with estimated loss ₹81 lakhs. Year ended 31.3.2021. The fire occurred after year-end.

Conclusion: Non-adjusting event. No adjustment in accounts for 31.3.2021. **Disclose** nature of event and estimated loss in report of approving authority.

QUESTION 21 (CA Inter Nov 2022) — MN Limited

(i) Fire on 7.4.2022 — loss ₹15 crores (fully insured)

Provision: AS-4 treats events not relating to conditions at balance sheet date as non-adjusting. Going concern must also be assessed. Material events require disclosure.

Description: Fire on 7.4.2022 destroyed manufacturing plant. Estimated loss ₹15 crores, expected to be fully covered by insurance. Year ended 31.3.2022, approved 15.6.2022. Fire did not exist on 31.3.2022.

Conclusion: Non-adjusting event. No adjustment of loss in accounts (insurance recovery expected). **Disclose by way of note** in financial statements. Assess **going concern** — if valid, continue as going concern.

(ii) Patent breach claim ₹12 crores (received before year-end)

Provision: Contingent liabilities are governed by **AS-29**. Provision is made only when recognition criteria are met. Mere existence of claim without probable outflow does not require provision for damages.

Description: Claim of ₹12 crores received before 31.3.2022. Management and legal counsel believe claim is baseless, though legal fees will be incurred.

Conclusion: No provision for ₹12 crores (outflow not probable). **Disclose as contingent liability** under AS-29 with full facts. **Provision for expected legal fees** may be made if amount can be reliably estimated and not recoverable.

(iii) Property sale — contract exchanged 15.3.2022, finalized 15.5.2022

Provision: As per AS-4, if a binding agreement/contract existed before year-end, completion after year-end but before approval is an adjusting event.

Description: Property (book value ₹37,50,000) — contract exchanged on 15.3.2022 (before year-end), sale finalized on 15.5.2022 for ₹39,75,000 (before approval 15.6.2022). Sale was substantially agreed before 31.3.2022.

Conclusion: Adjusting event. Sale should be **recognized in accounts for 31.3.2022**. **Profit on sale ₹2,25,000** (₹39,75,000 − ₹37,50,000) should be recorded.

Quick Reference Table

Type	Treatment
Adjusting event	Adjust assets/liabilities in accounts
Non-adjusting event	No adjustment; disclose in Board's Report / Notes

After approval	Not covered by AS-4; treat in next period
Proposed dividend	Not a liability; disclose in notes only